CARTER WARRENS · QUANTITATIVE RESEARCH

BLAQUE BAUX

An honest architecture for systematic risk-premium harvesting.

A governed platform built on a single admission: after rigorous out-of-sample testing found no exploitable edge in *predicting* returns, we stopped trying — and built around the edge that does survive, **risk structure**.

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This is the capstone of a research program that built and tested more than two dozen systematic strategies across return-prediction, convexity, correlation structure, credit, commodities, and derivatives — and *rejected most of them, on the record, with the reason.* The survivors form a governed, reproducible platform. What follows is the whole of it: the philosophy, the engine, the four books that trade, the derivatives reference that surrounds them, and the ten durable laws the failures taught us. The thesis throughout is unfashionable and, we think, correct — **anyone can point a model at a market; the discipline is knowing what the data actually says, and being honest when the answer is no.**

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01 THE THESIS: DON'T PREDICT, HARVEST

The premise most quant programs never state out loud is that they can forecast price. Blaque Baux states the opposite. Under honest, purged, out-of-sample testing, we found no durable predictive edge at the horizons and instruments we could actually trade — a conclusion the research corpus in §8 documents rather than assumes. So the platform is built on what remains after prediction is discarded: **the premia you are paid to bear risk-structure for.** Diversification. Trend. Carry, where it is real. Insurance, sold with discipline. These are compensations, not forecasts — and they survive because they are risk transfers, not bets on being smarter than the tape.

That reframing has a consequence the rest of this paper keeps returning to: **no single sleeve is a money-maker on its own.** A vanilla swap is not alpha; a collar is not alpha; a diversified basket is not alpha. Each is a *guardrail* — a way to shape what a portfolio owns and where it is exposed. The returns live in composition and in governance, not in any one clever signal. The market has priced the clever signals. It has not fully priced *discipline.*

> *Blaque Baux does not try to be smarter than the market. It tries to be more honest than the marketer.*

02 THE ENGINE: GOVERNANCE AS THE PRODUCT

Beneath every strategy sits one platform, written in Julia. Its most important feature is not a signal — it is a **venue-agnostic execution controller** that enforces hard, tested invariants on every order: idempotency, per-pool budget and loss limits, data-staleness checks, position reconciliation, full fill lineage, and a kill switch. No language model is anywhere near the order path. On top of it sits a **Layer-3 live-money safety gate** — pre-trade drawdown and loss halts, gross-leverage and per-name caps, account and data checks — that must return green before a single share moves.

The cultural artifact of that engine is a phrase repeated across the codebase: *validate before live.* Every strategy faces the same causal walk-forward — recompute from data strictly before each rebalance, hold, accrue P&L *net of costs*, and clear a stated pass/fail bar with a purged K-fold cross-check — before it is allowed even onto a paper account. Nothing in this paper is called ”working” that has not survived that gate; where a number is in-sample or gross, it says so.

03 THE SPINE

The production strategy is deliberately plain: an inverse-volatility / equal-risk-contribution **base** that harvests the diversification premium by risk structure, plus a twelve-month time-series-momentum **trend** sleeve that hedges crises — it made money in 2022, short bonds and long energy. Each is volatility-targeted on its own realized P&L, blended, and scaled by a drawdown-based regime brake. Rebalanced once daily.

~0.97 SHARPE (NET, PAPER-VERIFIED)	**~-11%** MAX DRAWDOWN	**-1.4%** 2022 (VS SPX −18%)
Daily REBALANCE CADENCE		

The honest framing sits beside the numbers in the code: this is a **single-digit-CAGR, ~1.0-Sharpe** strategy — institutional-quality *risk-adjusted* performance, not headline returns. Leverage to double digits is possible and is quantified in the repo; it buys proportional (double-digit) drawdown and is net-negative at today's margin rates. There is no double-digit-return-at-low-risk configuration, and the platform says so.

04 THE KEEPER BOOK

The spine is the survivor of a much larger set. The **keeper book** combines it with three validated sleeves — CRACK (crude → refiner relative value), BORE (beta-hedged cross-sectional momentum), and TREND (vol-scaled multi-horizon trend) — allocated by risk parity and netted to per-symbol targets. Run through the same walk-forward gate as everything else, it clears the bar:

BOOK (NET, CAUSAL OOS)	SHARPE	CAGR	MAX DD
Keeper book	+1.28	+6.4%	-6%
In-sample-fit ceiling	+1.39	—	—
SPY (same window)	+0.79	—	-34%

2017–2026, 5 bps/side. Positive in 9 of 10 years; purged 6-fold OOS Sharpe mean +1.24. The ~8% haircut from the in-sample ceiling is the mark of a robust, not overfit, book.

The book taught its own lesson about what earns weight. The risk budget flowed not to the highest-Sharpe sleeves but to the genuinely *uncorrelated* fragments — TREND at −0.14 correlation, BORE at −0.06.

> *High standalone Sharpe does not earn weight. Low correlation does.*
>
> LAW OF THE KEEPER BOOK

05 THE TACTICAL BOOK

Most ideas do not clear the keeper bar. The instinct is to discard them; the discipline is to ask *how* they fail. Several near-misses were real, mechanism-grounded, and market-neutral — just too small or too regime-dependent to trade alone. Used the way they are meant to be — **small, deployed only in their favorable regime, time-boxed to a quarter or two, and combined** — they become something the standalone tests could never show.

TACTICAL SLEEVE (NET OOS)	SHARPE	BETA	MECHANISM
cost-push	+0.22	-0.00	supplier→customer margin squeeze
beige	+0.38	-0.01	airline fuel-cost lag
bulgar	+0.16	-0.00	processor crush margin
pead	+0.11	-0.00	post-earnings drift
Combined (40% book)	**+0.46**	**-0.01**	**uncorrelated, mutually diversifying**

The combined book beats every member. Correlation to the keeper book +0.05 — so as an overlay it lifts the keeper Sharpe from +1.28 to +1.35 at half weight, where any one sleeve alone adds nothing.

The tactical book is also the clearest window onto the platform's temperament. One thread — an ingredient-supply-chain thesis grounded in a decade of operator experience — produced **five correct economic reads in a row** (processors are long the crush margin; the supplier→customer lag is real; the crowding is a theme not an industry) and **zero that cleared the net-of-cost bar.** That gap is the whole education.

> *Being right about the world is not the same as owning an edge the market has not already priced.*
>
> THE INGREDION LAW

06 CRYPTO FUNDING CARRY

Every book above harvests trend, diversification, relative value, or drift. The one *genuinely orthogonal* premium the search surfaced lives in crypto: **cash-and-carry** — long spot, short the perpetual future, collecting the funding rate leveraged longs pay shorts. Delta-neutral on price; market-neutral in fact, not in disguise.

+11.9% /YR, NET (BTC+ETH, 2020–26)	**+0.01** CORRELATION TO EQUITIES	**Every** CALENDAR YEAR POSITIVE

It is also the sharpest lesson in the paper. The funding stream is smooth, so it prints a Sharpe near ten — which is a *warning*, not a boast: the classic carry signature of picking up coins in front of a machine. The true risk lives in the execution and venue layer — liquidation, basis blowout, counterparty failure, stablecoin depeg — none of it visible in the smooth series. So the sleeve is **sized by the tail, never the volatility**: a hard 3–5% venue cap, a funding-regime gate, and circuit breakers on margin, basis, and the stablecoin peg — all built and verified in a governed dry-run driver against live public data, before a single dollar or key is committed.

> *A Sharpe of ten on a carry trade is not an edge you found. It is a tail you have not met yet.*

07 BLOCK: THE DERIVATIVES LAYER

Surrounding the books is a derivatives reference built from the definitive institutional taxonomy — equity, FX, rates, credit, commodities, municipals, funding. It is made *computable*, and held to the same discipline: nothing is asserted that an identity does not prove.

- **A catalog of 120 building blocks** — machine-readable, each with parties, cash-flow legs, parameters, payoff, variants, and the documented hedging/arbitrage plays it participates in.
- **Reference pricers** — IRS, FX forward, Black-Scholes, CDS — each proven against its textbook identity: par-swap zero value, covered interest parity, put-call parity, the credit triangle.
- **The cross-cutting analytics** — index construction and the divisor, price-movement correlation and implied correlation, beta, dividends and corporate actions, the basket-vs-index basis — twelve identities, all verified.

Two research plays make the layer concrete, and both restate the platform's thesis in the language of options. A systematic SPY **collar** raised the Sharpe from 1.01 to 1.39 and cut the worst month from −17.6% to −5.0% — *at the cost of upside.* It is a guardrail, not alpha, and the numbers say so precisely. And a live correlation study found the number every index derivative depends on is **regime-dependent**: average correlation runs near 0.30 in calm markets and spikes to 0.83 in a crash — so a basket's diversification collapses exactly when it is needed most.

> *Correlation is priced instantly, and it goes to one in the storm. It is a risk instrument to watch, never an alpha to assume.*

08 THE CORPUS — WHAT DID NOT WORK

A strategy is only as trustworthy as the ideas its authors were willing to kill. The larger part of this program is a public record of rejection — dozens of reproducible sketches, each ending in a verdict with a reason. A representative slice:

NULL	**Cross-sectional & Bayesian alpha, 15-minute alpha** no exploitable predictive edge at tradeable horizons — the finding the whole platform is built on.
NULL	**Pairs stat-arb, earnings lead-lag, carry-as-base** priced in, arbitraged away, or dominated by their own beta.
NULL	**Fade the bubble, short strength, leverage to double digits** you cannot fade a momentum-driven runup; leverage multiplies drawdown, not edge.
REVERSED	**The moment ladder, the food-chain pricing thesis** real anomalies that inverted this decade or reversed once the mechanism was understood.
KEPT	**The spine, the diversified keeper book, the tail hedges** risk-structure premia that survive net of cost, out of sample, across regimes.

That most of the scorecard is red is not an apology. It is the evidence. A firm that shows you only its winners is showing you a brochure; a firm that shows you its graveyard, labeled, is showing you how it thinks.

09 TEN LAWS THE FAILURES TAUGHT

The rejections were not wasted. Each one narrowed the space, and the survivors of that narrowing are a small set of durable principles — the actual intellectual product of the program.

I. Don't predict returns; harvest the premia you are paid to bear risk structure for.

II. Correlation is priced instantly — a risk tool, not alpha — and it goes to one in a crash.

III. Convexity is free (trend) or paid (long-vol), never both cheap and fast.

IV. Timing the tail removes the tail — a diagnostic that flags does not thereby time.

V. Aggression multiplies edge; with none, it multiplies only ruin.

VI. You cannot short momentum-driven strength; long it, you survive on drift, not selection.

VII. Diversification is bounded by the diversifier's own Sharpe — uncorrelated is not additive.

VIII. Being right about the world ≠ owning an edge the market has not priced.

IX. A guardrail is not a signal — no single sleeve is a money-maker alone.

X. The red scorecard is the point — trust the program that labels its graveyard.

→ ACCESS & POSITIONING

Blaque Baux is a quantitative research initiative and a subsidiary of **Carter Warrens**. The work is public: the engine, the four books, the derivatives reference, and the full graveyard of rejected ideas all live in the open on GitHub, governed and reproducible. The site at **BlaqueBaux.com** is the door; the code is where anyone can build their own bespoke strategies on top of a platform whose guardrails have already been tested.

The market has changed. It is no longer set-and-forget, and it is no longer scarce in tools — anyone can point an AI at a chart. What remains scarce is the judgment in between: **understanding what the data actually says, and turning it into something you can act on.** That is the discipline this whole document is evidence of, and it is why Carter Warrens leads on strategy and implementation rather than merely using the instruments everyone now holds.

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AUTHOR: KAREEM WILLIAMS · CAPSTONE EDITION, 2026